Falcon Distribution — Investment & Sales Offering Memorandum (Revised)

Industrial · Indianapolis, IN · Effective 2026-09-01 · Supersedes prior version · Original fictional evaluation material

Revision Summary — What Changed

Source-backed analysis. Assumptions remain subject to diligence.

This revision applies revision-notice.pdf and rent-roll-revised.xlsx (as-of 2026-09-01), which supersede the prior certified roll (2026-08-31). Three changes were made: (1) Suite 002 remains active with monthly rent increased by $225 to $14,825; (2) cap rate raised 25 bps from 6.2500% to 6.5000%; (3) initial sizing rate raised 75 bps from 7.0000% to 7.7500%. All other underwriting rules, expenses, existing payoff, and lease terms remain unchanged. Suite 008 remains vacant. Lease-correspondence.pdf continues to confirm no amendments affecting Suite 001, whose executed rent remains $14,450.

Item	Prior	Revised
Roll as-of	2026-08-31	2026-09-01
Suite 002 monthly rent	$14,600	$14,825
Cap rate	6.2500%	6.5000%
Sizing rate	7.0000%	7.7500%
GPR annual	$1,402,800	$1,405,500
UW EGI	$1,335,320	$1,337,885
UW NOI	$902,476	$904,964
UW NCF	$900,076	$902,564
Capitalization value	$14,439,622	$13,922,530
Maximum loan (DSCR-bound)	$9,019,220	$8,398,930
Net cash-out	$1,084,027	$469,941

Executive Summary

Falcon Distribution is an 8-suite industrial asset totaling 176,060 SF in Indianapolis. Seven suites are physically occupied (154,060 SF) and one suite (008) is vacant on the revised certified rent roll dated 2026-09-01. The manager's cover characterizes occupancy as 7 of 8 by including pending occupants that have not taken possession; the certified detail controls physical occupancy at 7/8 active.

Prescribed underwriting produces EGI of $1,337,885, NOI (before reserves) of $904,964 and NCF of $902,564. Capitalized at 6.5000%, gross value indication is $13,922,530. Sized on the 7.75% revised sizing rate (which exceeds both the 6.10% note rate and the 7.00% floor) at 30-year amortization with 1.25x DSCR / 9% NCF debt yield / 65% LTV, the DSCR test binds at approximately $8,398,930. After 1% origination, $45,000 closing costs and $7,800,000 existing payoff, net cash-out to the sponsor is approximately $469,941.

Photos, asking price, market sales and rent comparables, and sponsor history are not included in the packet and have not been inferred.

Property & Suite Mix

Manager group mapping (A/B/C) corresponds in order to Small suite, Standard suite, Large suite. Suite counts and areas unchanged from prior version.

Group	Type	Units	Occupied	Area SF/unit
A	Small suite	3	3	21880
B	Standard suite	3	2	22000
C	Large suite	2	2	22210
Total		8	7	176060

Rent Roll & Occupancy (revised certified, 2026-09-01)

Suite 008 remains the only vacant suite. Physical unit occupancy is 7/8 = 0.8750; area occupancy is 154,060 / 176,060 = 0.8750.

Suite	Type	SF	Status	Monthly rent	Expiration
001	Small (A)	21880	active	$14,450	2029-08-31
002	Standard (B)	22000	active	$14,825	2029-08-31
003	Large (C)	22210	active	$14,875	2029-08-31
004	Small (A)	21880	active	$14,450	2029-08-31
005	Standard (B)	22000	active	$14,600	2029-08-31
006	Large (C)	22210	active	$14,875	2029-08-31
007	Small (A)	21880	active	$14,450	2029-08-31
008	Standard (B)	22000	vacant	$14,600	2029-08-31

Historical vs Underwritten Financials

Historical (cash-basis) T12 through 2026-08-31 remains a reference; underwritten stabilized figures use the revised roll and revised assumptions. Reserves are $300 x 8 units = $2,400.

Line	T12 Historical	Underwritten (Revised)
Rental/GPI	$1,262,520	$1,405,500 GPI
Other income	included in above	$2,800
Economic loss (5%)	n/a	($70,415)
EGI	$1,262,520	$1,337,885
Tax	($147,294)	($147,294)
Insurance	($49,098)	($49,098)
Other opex	($196,392)	($196,392)
Management (3% EGI)	n/a	($40,137)
NOI before reserves	$869,736	$904,964
Reserves	n/a	($2,400)
NCF	n/a	$902,564

Debt Sizing & Sources / Uses (Revised)

Sizing rate is the revised 7.75% (per revision-notice.pdf) which exceeds both the 6.10% note rate and the 7.00% floor. Constraints: 65% LTV of capitalized value ($9,049,644), 1.25x DSCR on NCF ($8,398,930), 9% NCF debt yield ($10,028,494). DSCR binds.

Item	Amount
Loan proceeds (DSCR-bound)	$8,398,930
Origination fee (1%)	($83,989)
Closing costs	($45,000)
Existing payoff	($7,800,000)
Net cash-out to sponsor	$469,941

Risks & Missing Diligence

Present risks (unchanged from prior version): (1) manager's cover overstates occupancy by including pending, unpossessed units; (2) sizing floor / rate increase now binds against a revised 7.75% sizing rate versus the

6.10% note rate.

Absent risks (unchanged): capital-in-opex (roof capitalized separately, no capital embedded in recurring opex line); missing insurance (GL policy declaration present); temporary free rent (lease-001.pdf explicitly denies); refinance shortfall (net cash-out positive $469,941); unsigned rent change (Suite 002 rent change is on the revised certified roll and the revision notice; it is not an unsigned proposal, so the risk of unsigned rent change remains absent); near-term rollover (all active expirations 2029-08-31 > 12 months from evaluation date).

Source Notes

Controlling: rent-roll-revised.xlsx (2026-09-01) and revision-notice.pdf. Superseded: rent-roll-certified.xlsx (2026-08-31). Stale reference: rent-roll-archive.xlsx (2026-06-30). Other sources unchanged: lease-001.pdf; lease-correspondence.pdf; insurance.pdf; operating-statement.pdf; underwriting-instructions.pdf; manager-cover.pdf; diligence-status.pdf.